

Induced Discrimination and Labor Market Segregation

Evidence from U.S. School Book Bans

Lorenzo Vicari*

This project studies whether symbolic identity-based policies can induce discriminatory equilibria in local labor markets that generate political gains for nativist politicians. Building on a political-economy model of norm-based labour discrimination, the project focuses on school book bans recently enacted by U.S. school districts, which prior work interprets as symbolic political actions in increasingly contested local electoral contexts. These bans are conceptualized as identity-salience shocks that may activate discriminatory hiring and job-acceptance norms. The empirical analysis combines the timing and geography of book bans with county- and commuting-zone-level labor-market outcomes by race and firm ownership by race. Using a difference-in-differences design, the project tests whether book bans are followed by divergence in labor-market outcomes between majority and minority workers, and whether such effects are concentrated in areas where minorities are underrepresented among employers as the model implies. The analysis further explores whether heightened discrimination translates into political gains for nativist candidates mainly if mediated by labour market divergence. The project contributes to debates on identity politics by empirically linking culture-war policies to political returns for nativist leaders through a novel economic channel, highlighting how identity-based discrimination generates political returns despite aggregate inefficiency.

Introduction

Can culture-war policies that raise the salience of social identity induce discriminatory equilibria in local labor markets?

The objective of this research project is to test the theory proposed in Dewan and Wolton (2025), which suggests that symbolic discriminatory policies (such as the burkini ban) increase

*PhD Candidate, Government Department, LSE.

discrimination in the labour market: majority (minority) employers discriminate against minority (majority) workers, leading to better labour market outcomes for majority workers if minority employers are relatively few. Moreover, it investigates whether this accrues as political gains to nativist politicians.

The variation in symbolic policies to test the theory is inherently hard to capture at scale. However, a recent paper by Goncalves et al. (2024) provides grounds for testing the theory in the context of local US labor markets by compiling the hundreds of U.S. school districts that enacted bans on books, documenting that they were disproportionately authored by or portrayed racial, ethnic, and sexual minorities. The paper interprets these bans primarily as symbolic political actions designed to solidify the conservatives' voting bloc in increasingly competitive right-wing constituencies. Is this explained by economic shifts?

This research is relevant to the scholarly debate on economic motivation of identity politics (Bernstein 2005). While much of the relevant literature focuses on electoral outcomes and public opinion (Noury and Roland 2020), this project extends the analysis to labor-market dynamics, exploring how symbolic policies can improve the economic outcomes of majority groups through norm-based group conformity (Shayo 2020).

Theory

Dewan and Wolton (2025) study a political-economy model of norm-based discrimination in the labor market. In the model, identity is payoff-irrelevant but socially contagious: interactions across identity groups can lead to stigma by association, which sustains discriminatory hiring and job-acceptance norms. When identity is not salient, labor-market interactions are non-discriminatory. When symbolic policies are enacted, identity becomes salient: agents may then condition behavior on identity, leading to a segregated labor market.

The model shows that discriminatory equilibria can benefit majority-group workers if the share of employers among the majority is larger than among minorities: majority workers face reduced competition from minority workers, as majority employers prefer not hiring them; this benefits them more than the loss of potential employment at minority employers, provided there are not too many. This lowers aggregate productivity, but office-motivated politicians may have incentives to propose symbolic policies that trigger discrimination to benefit majority workers, who may be or become their core constituency.

Book bans are good candidates to represent such symbolic policies: they are inexpensive to implement, highly visible, and contentious at the local level, and closely tied to group identity (Goncalves et al. 2024). The hypothesis is that bans increase the probability that discriminatory norms become activated in local labor markets. If this is the case, the model offers two sets of insights for empirical testing:

Determinants Locations that present the following features are more likely to see locally enacted book bans:

1. Small share of minority employers relative to minority workers: as anticipated, this condition is necessary in order for the mechanism to be beneficial for majority workers.
2. Few intermediate to large firms: if small firms are too many (i.e. if typical employer hires only a few workers), employers will be too large a fraction of the voting population. As they lose profit from discrimination, they will not support symbolic policies that trigger it, making it politically unpalatable.
3. Majority unemployment: the policy would be more appealing to politicians willing to represent majority workers if unemployment is a salient issue.

Effects Once a book ban is enacted, the following consequences are expected:

1. Labor-market outcomes divergence: labor-market outcomes (employment, wages) diverge between majority and minority workers in affected areas, relative to areas without bans, with minority workers experiencing worse outcomes.
2. Heterogeneity by economic integration: effects are strongest in areas where minorities constitute a relatively large share of workers but a small share of employers.
3. Aggregate efficiency and redistribution (exploratory): areas exposed to book bans may experience declines in aggregate productivity.
4. Heterogeneous political effects (exploratory): areas where the mechanism operates more intensely experience larger political shifts.

Data

The project combines several data sources. Information on book bans (timing, school district, characteristics) comes from Goncalves et al. (2024). Labor-market outcomes by race (employment, unemployment, wages) are drawn from the Census Bureau’s Local Area Unemployment Statistics (LAUS) and the Quarterly Census of Employment and Wages (QCEW).

Most importantly, the Census Bureau’s Survey of Business Owners and Annual Business Survey provide information on firm ownership by race and ethnicity, along with employment counts, which are central to testing the model’s predictions. Similar data for robustness is offered by the Kauffman Firm Survey.

Empirical Strategy and Limitations

A difference-in-differences design comparing local labor-market outcomes before and after book bans, relative to areas without bans, would be fit to capture the ATT of bans on economic outcomes. The analysis will allow for heterogeneous treatment effects based on baseline political and labour market characteristics. The structural estimation of a simplified version of the original model may also help quantify the effect.

For this design to work, book bans need to be salient. Goncalves et al. (2024) document that bans were often the result of grassroots campaigning, were visibly debated in school boards, and caused appreciable political impacts, yet more evidence is required to establish

their importance to local politics. While ATT does not require quasi-random assignment, the design will include controls for local political trends, demographics, and economic conditions, to enable a quasi-causal interpretation conditional on pre-trends and controls.

Contribution

The project contributes a theoretically-grounded plausibly causal analysis to three strands of literature, corresponding to three steps of a single process. First, it examines how salient political events can erode the stigmatization of discriminatory behaviour (e.g. Bursztyn, Egorov, and Fiorin 2020). Second, it investigates how discrimination affects labor-market outcomes for different social groups Di Stasio and Heath (2021). Finally, it relates heightened discrimination to political gains by nativist political actors (e.g. Giavazzi et al. 2020), newly documenting an employment channel.

In sum, the project aims to empirically substantiate why identity politics may generate economically inefficient outcomes and nonetheless command political support, offering an economic explanation for the battles that make up the culture war (Noy and Rao 2025).

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¹Excloding title, abstract, and references.